Topic 4 — British Administration & Economy

Covers syllabus (click to expand)

Administrative System of British India | Local Administration | Cornwallis (कॉर्नवालिस) Code and the Judiciary | Police and the Thana System | Indian Civil Service (Haileybury to Open Competition) | British Economic Policy | Impact of British Rule on Indian Economy | British Land Revenue Systems | Permanent Settlement (स्थायी बंदोबस्त) | Ryotwari (रैयतवाड़ी) System | Mahalwari (महलवाड़ी) System | Drain of Wealth (धन निष्कासन) Theory | Commercialization of Agriculture | Plantation Economy (Indigo (नील), Tea) | Deindustrialization (विऔद्योगीकरण) | Monetisation and Currency | Dual Economy (द्वैत अर्थव्यवस्था) Critiques | Railways and the Guarantee System (गारंटी प्रणाली) | Managing Agency System (प्रबंध अभिकरण प्रणाली) | Telegraph | Postal System | Famine Policy and Famine Codes | Foreign Trade (पण्याध्यक्ष) and Commerce

Sources baked in: NCERT Themes III, Bipan Chandra, Naoroji, R.C. Dutt, Spectrum, Ghatnachakra economy bank (Economic Impact of British Rule), UPPCS Prelims 2018–2025 **Weight:** ★★★ — land-revenue matching, Drain book year, Cornwallis/Munro/Mackenzie, judiciary/police ladder, ICS dates, railway guarantee, famine years, infrastructure dates **Last verified:** September 2026 gap audit — land CCR compare; monetisation / dual-economy critiques; commerce expand; Extra Drill gaps flagged (no invented mega banks) **Current Affairs:** N/A (historical) **Ownership:** Full land-revenue compare, Drain, deindustrialisation, railways, famine commissions and dual-economy critiques live here. GG/Viceroy (वायसराय) tags, constitutional Acts, Vernacular Press / Arms / Ilbert / Ripon (रिपन) local self-gov as ruler reforms stay in the Governors-General & Viceroys chapter.

4.0 One clear picture — three phases of colonial economic policy

British economic policy in India was not one static plan. Bipan Chandra's three-stage frame is the standard map. Hold this table first; every card below plugs into one of its columns.

Phase	Rough years	Method	Key fact
Mercantilism / trade monopoly	Plassey to **1813**	The Company held a **trade monopoly**; Bengal's own land revenue funded the "investment" — goods bought in India for sale in Europe	Charter Act **1813** ends the India trade monopoly
Free trade	**1813–1858**	One-way "free trade": British machine-made goods entered India with little protection for local crafts, while India supplied raw (कॉ) material and bought back finished cloth	Charter Act **1833** ends the China-tea monopoly too; Manchester cloth floods in

Phase	Rough years	Method	Key fact
Finance capital / Drain	**1858 onward**	British capital entered through **railway guarantees**, **managing-agency** control of industry and public loans; **Home Charges** and guaranteed interest moved Indian revenue to Britain	Naoroji's Drain critique, published **1901**

- Every phase kept the same underlying goal: make India a supplier of raw material and a buyer of British goods.
- Only the **method** changed, tracking British capitalism's own shift from trading-company monopoly to industrial free trade to finance-capital export.
- Land revenue paid for wars and administration across all three phases. It is the constant thread under every phase.

> **Logic:** Do not treat 1813 "free trade" as good news for India. It freed British goods to enter; it did not free Indian goods to compete.

4.1 Administrative System of British India

- British India was run from the **district** upward. The **Collector** carried revenue, magisterial and — until 1793 — judicial power together.
- After the **Diwani of 1765** (दीवानी अधिकार - दीवानी सनद) the Company had to collect Bengal's land revenue itself.
- **Dual Government (1765–72)** [द्वैध शासन: दीवानी एवं निज़ामत अधिकार] left revenue with the Company and police/justice in the Nawab's name. It produced corruption and made the **Bengal Famine of 1770** worse.
- **Warren Hastings** (वारेन) ended Dual Government in **1772**. Company officers then ran revenue and civil administration directly.
- **Cornwallis (1786–93)** professionalised the civil service and separated the judiciary from the revenue side. The dedicated judiciary and police cards below carry this detail forward.
- The **Charter Act of 1833** created the **Governor-General of India** and one all-India executive.
- The **Charter Act of 1853** started **open competition** for the civil service. The civil-service card below carries this thread.
- After **1858** a **Secretary of State for India** sat in London and a **Viceroy** sat in India.
- The three **Presidencies** were **Bengal, Madras and Bombay**. After 1858 provinces sat under the Viceroy, but the district collector remained the real steel frame.

> **Logic:** Dual Government ended in **1772** under Hastings, not under Cornwallis. The Collector was never only a tax clerk.

4.2 Cornwallis Code and the Judiciary, 1793

Cornwallis's **Code of 1793** gave British India its first settled ladder of civil and criminal courts. It rests on one principle: **separate revenue from justice**.

- Before 1793 the **Collector** doubled as judge. Cornwallis took judicial work away from him and left him only revenue and magisterial duties.
- A **District Judge**, a covenanted civil servant, now headed the civil court of each district — the **Mofussil Diwani Adalat**.
- Court fees were abolished so litigation was not blocked by cost. Pleaders (**vakeels**) were formally recognised.

Civil ladder, lowest to highest:

Court	Who presided	Note
Munsiff's Court	Indian officer	Smallest claims
Registrar's Court	European Registrar	Slightly larger claims, referred by the District Judge
District (Zilla/City) Diwani Adalat	**District Judge**	Main civil and revenue-dispute court
Provincial Court of Appeal	3 Company judges each	Four (चातुर्याम) courts — **Calcutta, Dacca, Murshidabad, Patna (पटना)**
Sadar Diwani Adalat	Governor-General-in-Council	Final civil court, sat at Calcutta

Criminal ladder:

- The same **District Judge also sat as Magistrate** for his district's criminal cases.
- **Circuit Courts**, staffed by covenanted civil servants, toured the four Provincial divisions to hear criminal appeals and confirm serious sentences.
- The **Sadar Nizamat Adalat** at Calcutta was the highest criminal court.
- Softened Muslim law supplied the criminal code, and a **qazi (क़ाज़ी)/mufti** law officer sat with the European judge to declare the sentence.
- Europeans were kept outside this Indian court system. They answered instead to the **Supreme Court** at Calcutta.
- **William Bentinck** later abolished the four Provincial Courts of Appeal and Circuit, shifting their work to Commissioners and then to District Judges/Collectors, and opened judicial posts (Deputy Magistrate, Sadar Amin) to Indians.
- **High Courts** replaced the Sadar Adalats at Calcutta, Madras and Bombay only in the **1860s**, well after this topic's core Cornwallis frame.

> **Logic:** Cornwallis separated the **Collector from the judge**. Do not place Bentinck's later High Courts inside the 1793 Code.

4.3 Police and the Thana System, 1793

- Before Cornwallis, **zamindars** kept their own retainers for local policing, alongside their revenue power. That mixed police work with private landed interest.
- Cornwallis stripped zamindars of their policing role as part of the same 1793 reform that split revenue from justice.
- Each district was divided into **thanas** (police circles). A **daroga**, usually an Indian officer, headed each thana under the **District Magistrate's** control.
- The daroga was meant to report to the Magistrate and refer bailable cases onward, but distance from real supervision let extortion creep into the new force.
- This 1793 thana-and-daroga structure is the direct ancestor of today's police-station network.

> **Logic:** The thana system is a **police**, not a judicial, reform, but it was legislated in the **same 1793 Code** that built the court ladder.

4.4 Civil Service: Haileybury to Open Competition

- Early Company appointments to the **covenanted civil service** were made by **nomination** of the Court of Directors, not by a merit.
- **Wellesley** set up **Fort William College at Calcutta in 1800** to train new recruits in Indian languages and law. The Directors distrusted an India-based college and largely rejected its civil-service role by **1806**.
- The Company instead ran the **East India College at Haileybury (England) from 1806**. Nominated cadets trained there for about two years before sailing to India.
- The **Charter Act of 1833** proposed open competition for the civil service, but the Court of Directors' opposition kept it a dead letter.
- The **Charter Act of 1853** finally **ended patronage nomination** and opened the civil service to **competitive examination**. The **Macaulay Committee (1854)** framed the rules.
- The examination ran only in **London**, in English, and tested classical subjects along with a horse-riding test — a real barrier for Indian candidates.
- **Satyendranath Tagore** became the **first Indian to qualify** for the Indian Civil Service, in **1863**.
- The **age limit for entry was cut repeatedly** through the 1860s–70s, which narrowed the practical window for Indian candidates further.
- The **Aitchison Committee (1886)** created three tiers — Imperial (in England), Provincial and Subordinate (in India) — and nudged the age limit back up.
- The **Islington Commission (Royal Commission on Public Services, 1912)** (chaired by Lord Islington; members included G.K. Gokhale (गोखले) and Abdur Rahim (रहीम)) recommended that **25% of the superior civil service posts** be filled by Indians.
- The **Lee Commission (Royal Commission on Superior Civil Services, 1923–24)** recommended establishing a **Public Service Commission** (established in **1926** under Sir Ross Barker) and achieving a **50:50 parity** between Europeans and Indians in the ICS within 15 years.

- **Simultaneous ICS examinations in India** began only in **1922**, at Allahabad/Delhi, after long nationalist demand and the Montagu–Chelmsford push.
- Indianisation of the ICS stayed slow and partial right up to 1947.

> **Logic:** Haileybury **trained** nominees; it did not select by merit. Merit selection begins only with the Charter Act of **1853**.

4.5 Local Administration

- India's **first Municipal Corporation** was set up at **Madras in 1688**. It was not created by Ripon.
- Bombay got a municipal body in **1726**.
- **Lord Mayo (1870)** began **financial decentralisation**. Some funds and works — roads, schools — were handed to local bodies, but the central government still controlled the purse.
- **Lord Ripon's Resolution of 1882** is why he is called the **Father of local self-government**. It asked for **elected non-official Indian majorities** on municipal and district boards, with as much freedom from official control as the boards could manage.
- Ripon's ideal ran ahead of the reality. Officials kept vetoes and funds stayed thin.
- The **Royal Commission on Decentralisation (1907)** reviewed the scheme and pushed for wider village-level self-government too.
- Local self-government became a **"transferred" subject**, placed under **Indian ministers** in the provinces, only with the **dyarchy of the Government of India Act, 1919** — the real institutional payoff of Ripon's 1882 seed.
- The **Government of India Act, 1935** carried provincial autonomy further, but local bodies still worked inside a colonial financial ceiling.
- The **73rd and 74th Amendments** are Polity, not this topic.

> **Logic:** Ripon did **not** create the first corporation. Mayo is **1870**, not 1882. Ripon's Resolution only became real ministerial control under **1919 dyarchy**.

PYQ — UPPCS Prelims 2021, Q145

> [!TIP] **Exam Anchor — First Municipal Corporation in India (Madras, 1688):** - **Charter:** Set up at **Madras in 1688** under a royal charter issued by King James II of England, well before Ripon's modern Local Self-Government Resolution of 1882. - **Scope:** Established a Mayor's Court and town corporation to levy local rates for municipal preservation and roads.

4.6 British Economic Policy — locking the mechanism

- Every phase in the 4.0 table turned India into a **supplier of raw material** and a **market for British manufactures**. Only the financial tool changed.

- **Land revenue** stayed the Company's main Indian income throughout, funding wars, administration and — after 1858 — railway guarantees.
- **Home Charges** were expenditure incurred in **England** by the **Secretary of State for India** on India's behalf. They included India Office establishment costs, interest on public debt raised abroad, interest linked to railway capital, store purchases in England, pensions and gratuities of retired civil and military officers, and other non-effective army (सेना) charges paid in Britain from Indian revenues.
- Funds used for **waging wars outside India** were **not** counted as Home Charges — a standard multi-statement trap.
- **Imperial Preference** meant special concessions for **British imports into India** (often near-nil or very low duty) while **Indian exports paid high duties in Britain**.
- Interest and profit on **private foreign capital**, plus payments for banking, insurance and shipping services, were further leakages from India's national income.
- A strong preference among the rich to invest in **land** rather than industry kept industrial capital thin — one reason for the lack of independent industrial development under colonial rule.
- In the mid-eighteenth century the Company's staple Bengal exports for Europe included **cotton, silk, saltpetre and opium**.
- Roughly **40%** of central revenue in British India went to the **military** — a common one-liner.

Commerce and foreign trade pattern

- Before Plassey, India still exported **finished textiles** and other crafts. After Company rule (कंपनी शासन) hardened, the trade pattern reversed toward **raw-material export** and **finished-goods import**.
- After **1813**, private British merchants flooded India with Manchester cloth under one-way free trade. Indian finished goods faced high British tariffs.
- Opium to China, indigo and later jute and raw cotton were classic export staples. Tea from Assam joined the plantation export stream from the 1830s–40s.
- Shipping, insurance and banking around this trade were largely British-controlled, so even "Indian" export earnings leaked through service charges.
- A favourable merchandise balance on paper could still mean **unrequited** outflow — the Drain card below carries that mechanism.

> **Logic:** Home Charges = London-side charges on Indian revenue. Imperial Preference = privilege for British goods in India. Land-preference of the rich ≠ "no natural resources." Commerce pattern = raw out, manufactures in.

4.7 British Land Revenue Systems

The British did **not** use one land system for all of India. Different regions got different systems, and that created **different classes of peasantry**. This chapter is the **home** for the full compare; the Governors-General chapter keeps only Cornwallis / Munro / Mackenzie tags.

Feature	Permanent Settlement	Ryotwari	Mahalwari
Year	**1793**	1820s (trials from 1790s)	**1822** report
Region	**Bengal, Bihar, Orissa, Varanasi (UP)** etc.	**Madras, Bombay**, E. Bengal, Assam, Coorg	**UP / NWP, Central Provinces, Punjab**
Share of British India (approx.)	**~19%**	**~51%**	**~30%**
Architect	**Cornwallis** (Shore helped shape)	**Munro**, **Alexander (सिकंदर) Read** (Baramahal)	**Holt Mackenzie** (Bentinck extended)
Payer	**Zamindar**	**Ryot** (cultivator)	Village / **mahal** (often via **lambardar** (लंबरदार))
Rights	Zamindar = proprietor	Ryot = owner/occupant; pays government direct	Collective village responsibility
Revision	**Fixed / permanent**	Periodic; demand high and strict	Periodic **20–30 yrs**
Other names	**Istamrari / Ist-e-Marari** (इस्तमरारी बंदोबस्त), Jagirdari, Malgujari (मालगुज़ारी), Bishvedari	—	—

Cause → Course → Result (why three systems)

- **Cause:** After Diwani, the Company needed a **steady cash surplus** for wars and "investment." Older farm contracts and short settlements failed to deliver certainty.
- **Course:** Bengal got a **zamindar-as-proprietor** fix (**1793**). The south and west moved to **direct ryot settlement**. The north settled on the **village / mahal** unit under Mackenzie's line.
- **Result:** Three peasant structures — landlord–tenant (Bengal belt), heavily assessed individual ryot (Madras–Bombay), and joint village liability (NWP/UP–Punjab). All raised cash pressure, debt and famine risk; none was designed as peasant welfare.
- All three systems were meant to give the state a **steady cash surplus**, not to protect the peasant.
- Demand was often high and rigid. Default led to debt, sale of land, and higher famine risk.
- Different systems in different regions created **different peasant classes** — a standard A/R fact.

> [!TIP] **Exam Anchor — British Land Revenue Systems & Class Formation (UPPCS A/R Spine):** - **Assertion (A):** The British Government introduced different land revenue systems in different parts of India (Permanent Settlement ~19%, Ryotwari ~51%, Mahalwari ~30%). *(True)* - **Reason (R):** This diverse implementation created distinct socio-economic classes in Indian peasantry (absentee landlords, tenant farmers, bonded agricultural labourers). *(True, and (R) is the correct explanation of (A)).*

4.8 Permanent Settlement, 1793

Identity: Cornwallis, 1793 | Zamindar as proprietor | ~19% of British India

Cause → Course → Result

- **Cause:** Decennial and farming experiments after Diwani failed to give the Company a secure, collectable demand.
- **Course:** Cornwallis, drawing on Shore's revenue work, fixed the zamindar's payment **in perpetuity** in Bengal, Bihar, Orissa and Varanasi.
- **Result:** Zamindars became legal proprietors; cultivators became tenants; litigation and absentee purchase rose; the state's share (भाग) stayed frozen while rents on tenants often rose.
- Introduced by **Lord Cornwallis** in **1793** in **Bengal, Bihar and Orissa**, and also in **Varanasi (UP)**. About **19%** of British India came under it.
- It is also called **Istamrari / Ist-e-Marari** (इस्तमरारी बंदोबस्त), and sometimes tagged Jagirdari (जागीरदारी), Malgujari (मालगुज़ारी) or Bishvedari in older usage.
- Failed farming contracts and **decennial** (ten-year) experiments came before the permanent fix of **1793**.
- The **zamindar** (ज़मींदार) was recognised as **proprietor** with hereditary and transferable rights. He paid a **fixed** yearly sum to the Company — commonly remembered as **10/11** of the collection to the state and **1/11** kept by the zamindar.
- The actual cultivator became a **tenant**, not the owner of the soil. Zamindars were to issue **pattas** (पट्टा) to farmers, but many never did because there was **no official check** on them.
- Under the **Sunset Law** (सूर्यास्त कानून / सनसेट लॉ), if the zamindar did not pay by sunset on the due day, the estate could be sold at auction. Many buyers were urban (नगरीय) absentees.
- Making the zamindar stronger against the ryot, plus more intermediaries, fed **increased litigation** after 1793 — a classic match-list angle.
- Because the state's demand was frozen, the Company could **not** raise it when production later grew. Zamindars, however, often raised rents on tenants.
- Peasant pressure later produced the **Bengal Tenancy Act, 1885**, which defined landlord and tenant rights in Bengal and Bihar.

> **Logic:** Permanent Settlement = **Cornwallis, 1793**, with zamindars — not Wellesley, not Munro. Cultivators did **not** become owners.

PYQ — UPPCS Prelims 2025, Q40

> [!TIP] **Exam Anchor — Governor-General & Reform Matching (UPPCS 2025 Spine):** - **Lord Cornwallis:** Permanent Settlement of Bengal (1793) - **Lord William Bentinck:** Prohibition of Sati (Regulation XVII of 1829) - **Lord Dalhousie:** Doctrine of Lapse (1848 onwards) - **Lord Curzon:** Partition of Bengal (1905)

4.9 Ryotwari System

Identity: Read / Munro | Direct settlement with the ryot | ~51% of British India

Cause → Course → Result

- **Cause:** Company officers in the south argued that Bengal's zamindar middleman was alien to Tamil and Deccan (दक्कन) village practice and blocked accurate assessment.
- **Course: Alexander Read** tried direct settlement in **Baramahal**; **Thomas Munro** expanded it in Madras; **Elphinstone** carried a similar line into parts of Bombay.
- **Result:** The state faced the cultivator directly, surveyed fields, issued **pattas** (पट्टा), and kept the right to revise demand — high cash pressure without a Bengal-style landlord buffer.
- **Alexander Read** (Reed) first tried it in **Baramahal** (Tamil country) after the 1790s acquisitions. **Thomas Munro** expanded it as Governor of Madras (**1820–27**) and said Ryotwari was "a system which has always prevailed in India." **Elphinstone** carried a similar direct settlement into parts of **Bombay**.
- It spread across the **Madras** Presidency (प्रेसीडेंसी) and parts of **Bombay**, plus pockets of **eastern Bengal, Assam and Coorg**. About **51%** of British India came under it.
- The state settled **directly with the cultivator (ryot / रैयत)**. There was no Bengal-style zamindar in between. The government surveyed and assessed fields and issued **pattas** (पट्टा).
- The ryot was treated as the landholder responsible for revenue. Tax rates were **high** and collection was **strict**; remission in bad harvests was not a standing right.
- Revenue was **revised periodically**, so the state could raise demand. Cash pressure pushed peasants toward **moneylenders** and cash crops.
- In the south, older village elites such as **mirasidars** (मीरासीदार) often became the designated revenue payers under this system.

> **Logic:** Munro + Read = Ryotwari. Cornwallis = Permanent Settlement. Peasants were **not** exempt from revenue in every bad year as a fixed rule.

4.10 Mahalwari System

Identity: Holt Mackenzie, 1822 | Village / mahal unit | ~30% of British India

Cause → Course → Result

- **Cause:** In the North-Western Provinces the Company needed a settlement that fitted joint village rights better than Bengal's single zamindar model.
- **Course: Holt Mackenzie's 1822** report shaped mahal-based assessment; **Bentinck** later extended the idea. A **lambardar** (लंबरदार) often collected the village share.
- **Result:** About **30%** of British India — mainly **UP / NWP, Central Provinces and Punjab** — carried joint village liability with periodic revision. This is the land-revenue background of much of later Uttar Pradesh (उत्तर प्रदेश).

- Shaped by **Holt Mackenzie's report of 1822** for the **North-Western Provinces** (then under the wider Bengal Presidency administration, which is why some stems say “Bengal”). **Bentinck** later extended the idea. About **30%** of British India came under it.
- The unit was the **village or mahal** (महाल / ग्राम). Village land was treated as belonging to the village community, which was **jointly responsible** (संयुक्त उत्तरदायित्व) for the revenue.
- A **lambardar** (लंबरदार / ग्राम प्रधान) often collected the village's share.
- Demand was **revised periodically**. It was **not** a second Permanent Settlement.
- Main zones: **UP / NWP, Central Provinces and Punjab** (with local variations). This is the land-revenue background of much of later **Uttar Pradesh** (उत्तर प्रदेश).
- The **Punjab Land Alienation Act, 1900** later restricted land transfer from agricultural to non-agricultural classes — a separate Punjab agrarian fact often asked beside Mahalwari geography.

> **Logic:** Mackenzie = Mahalwari, not Ryotwari. Do not place Mahalwari as the main system of Bengal (that is Permanent Settlement).

4.11 Drain of Wealth Theory

- Drain means Indian resources were transferred to Britain **without an equal return**. Dadabhai Naoroji called it the **“evil of all evils”** and the main cause of Indian poverty.
- **Before 1813**, the Company built a recurring surplus from oppressive land revenue, monopolistic trade profits and official exactions, then used that surplus as an **“investment”** to buy export goods. Against those exports India received **nothing** equivalent. The Charter Act of **1813** ended that old monopoly-investment pattern.
- **From 1813**, the Drain took the form of **unrequited exports**. A favourable balance of trade for India often still meant wealth leaving without matching return.
- **Home Charges** were a main later channel: India Office costs, pensions, debt interest, and store purchases paid in Britain from Indian revenues. Wars fought **outside** India were **not** Home Charges.
- **Dadabhai Naoroji** was the first and chief propounder. Key writings include *England’s Duties to India*, *The Wants and Means of India*, *On the Commerce of India*, and *Poverty and Un-British Rule in India* (**1901**, not 1900).
- With **W. C. Bonnerjee** he helped found the **London Indian Society (1865)** to publicise Indian grievances. In **1892** he became the **first Indian elected to the British House of Commons** (Liberal Party ticket).
- **R. C. Dutt** (*Economic History of India*) stressed the same Drain and argued that a huge share of India’s annual product — often remembered in coaching notes as about **half** — was flowing out every year.
- Other economic critics of colonialism include **G. Subramania Iyer**, **M. G. Ranade**, **G. V. Joshi** and **Gokhale** (गोखले). **Sir Syed Ahmad Khan** did **not** accept the Drain Theory; he believed Muslim advance lay under British rule.
- The **Indian National Congress (कांग्रेस) at Calcutta in 1896** accepted the Drain Theory and linked Drain to famines and mass poverty.

- **Bipan Chandra** later wrote *The Rise and Growth of Economic Nationalism in India* — a retrospective study of the nationalist economic school.
- Early nationalists attacked **"Un-British rule"** (the Drain), not always the Empire itself.

> **Logic:** Year trap for Naoroji's book = **1901**. Drain ≠ deindustrialization. Syed Ahmad ≠ Drain critic. Home Charges ≠ overseas war costs (विदेशी युद्ध).

> [!TIP] **Exam Anchor — Dadabhai Naoroji's Magnum Opus (1901):** - **Publication:** *Poverty and Un-British Rule in India* was published in **1901 CE** in London by Swan Sonnenschein & Co. - **Societies & Parliament:** Founded the London India Society (1865) and East India Association (1866); elected as the first Indian Member of the British House of Commons (1892, Central Finsbury, Liberal Party).

PYQ — UPPCS Prelims 2019, Q97

> [!TIP] **Exam Anchor — Historiography of Colonial Economy:** - The seminal scholarly text ***The Rise and Growth of Economic Nationalism in India*** (1966) was authored by renowned historian **Bipan Chandra**, analyzing how early nationalist thinkers (Naoroji, Ranade, Dutt, Gokhale) formulated the economic critique of British imperialism.
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> [!TIP] **Exam Anchor — Moderate Economic Critique & "Un-British Rule" (UPPCS 2024 Spine):** - **Assertion (A):** In 1901 Dadabhai Naoroji published his book *Poverty and Un-British Rule in India. (True)* - **Reason (R):** He asserted that the British rulers were violating their own traditional British principles of governance, justice, and free trade by draining India's wealth without material return. *(True, and (R) explains why he deliberately chose the phrase "Un-British").*

4.12 Commercialization of Agriculture

- Under British rule, especially in the nineteenth century, agriculture was pushed toward **cash crops for export** — indigo, cotton, jute, opium, tea and sugarcane — rather than only subsistence food grains.
- Land revenue had to be paid in **cash**, so even a bad harvest forced sales. Railways and ports carried crops out to Bombay, Calcutta and Madras.
- Credit came from **moneylenders**. Default often meant loss of land. When food crops were displaced, **famine** risk rose. Commercialization did **not** mean peasant prosperity.
- One of the clearest economic results of nineteenth-century British rule was this commercialization — **not** a boom in Indian-owned factories or a rapid rise in urban population (जनसंख्या).
- **Sir Arthur Cotton** is remembered as the pioneer of large **irrigation works in South India**, linked to commercial agriculture and famine-control debates in the Madras Presidency.
- The **Indigo Revolt of 1859–60** in Bengal was against forced indigo. The plantation-economy card below carries the indigo mechanism.

[!TIP] **Exam Anchor — 19th-Century Chronological Spine (UPPCS 2025 Matrix):** - 1. Annexation of Awadh: **February 1856 CE** (Dalhousie on Outram's report) - 2. Indigo Revolt in Bengal: **1859–1860 CE** (Digambar & Bishnu Biswas) - 3. Second Anglo-Afghan War: **1878–1880 CE** (under Lord Lytton) - 4. Ilbert Bill Controversy: **1883 CE** (under Lord Ripon)

4.13 Plantation Economy — Indigo and Tea

Plantation crops were a distinct strand of commercialization: grown mainly for **export**, often under direct European control, not just cash-crop sale by free peasants.

- **Indigo** (नील) in Bengal and Bihar had two systems. Under **nij cultivation** (निज) the planter grew indigo on land he owned or leased himself.
- Under **ryoti cultivation** (रैयती) the planter forced peasants to grow indigo on part of their own holding after handing out a cash advance called **dadan**.
- The dadan advance trapped the ryot. He had to keep growing indigo season after season to repay debt, even when it lost money against food crops.
- Peasant anger at forced ryoti indigo fed directly into the **Indigo Revolt of 1859–60** covered in the commercialization card above.
- **Tea** plantations grew in **Assam** after wild tea was found there in the 1820s. The **Assam Company, founded in 1839**, was the first major tea enterprise.
- Tea gardens needed heavy, cheap labour. Planters recruited workers under **indentured contracts** from Chotanagpur (छोटानागपुर), the United Provinces and Bihar, later regulated by laws such as the Inland Emigration Act.
- Indentured tea labour lived under harsh contract discipline, penal clauses for desertion, and low wages — a plantation-labour story that runs parallel to overseas indenture.
- European planters, not Indian capital, owned most of the tea industry through the nineteenth century.

Logic: Nij is the planter's own land. Ryoti is the peasant's land under a forced advance. Do not swap the two.

4.14 Deindustrialization

- Indian **handloom (हथकरघा), metal-work and other crafts** declined under one-way free trade.
- The process is commonly dated from **1813**, when the Company's India trade monopoly ended and British manufactures flooded in more freely. The **Charter Act of 1833**, ending the Company as a trading body, aggravated the process.
- Cheap **Manchester** cloth undercut Indian weavers. High tariffs in Britain blocked Indian finished goods. India exported **raw cotton** and imported finished cloth — the reverse of the older pattern.
- After conquest, courts and nobles no longer bought on the old scale, so artisans lost patrons.

- Many weavers were pushed into agriculture. That overcrowded the countryside. **William Bentinck** remarked that the plains of India were whitening with the bones of weavers — the usual coaching quote for craft ruin.
- **Karl Marx** also criticised British economic policy in India as destructive of old industry and village structures; coaching notes sometimes key the line that British economic policy in India was **"disgusting."**
- Modern factories came **late** and stayed thin. The nineteenth-century story is craft **decline**, not "Britain industrialised India."
- Keep three ideas apart: **Drain** is unrequited transfer of surplus; **deindustrialization** is craft destruction; **commercialization** is cash-crop push on the land.

Cause → Course → Result

- **Cause:** One-way free trade after **1813**, British machine cloth, and loss of court patronage.
- **Course:** Weavers and artisans lost home and export markets; raw cotton left Indian ports; finished cloth returned as imports.
- **Result:** Artisan unemployment, rural overcrowding, and a lasting nationalist critique that colonial rule **deindustrialised** India while claiming to modernise it.

> **Logic:** Deindustrialization ≠ Drain of Wealth. Start marker often asked = **1813**.

4.14A Useful colonial economy terms (match bait)

Term	Meaning
Aurang	Persian (फ़ारसी) for a **warehouse** / place where goods are collected before sale — **not** "treasury officer"
Banian	Indian commercial **agent** of the East India Company
Mirasidar	South Indian village elite / designated **revenue payer** under Ryotwari-era arrangements
Jajmani	Traditional service–patron system of **North India**
Bara Balute	Traditional village service system of **Maharashtra**
Mirasi	Associated with **Tamil Nadu (नाडु)** land/service rights
Adade	Associated with **Karnataka** in the standard match set

> **Logic:** Aurang ≠ treasury in-charge. Banian ≠ Mirasidar. Keep the regional service-system match (Jajmani–North; Bara Balute–Maharashtra; Mirasi–Tamil Nadu; Adade–Karnataka).

4.14B Monetisation and currency

Colonial rule did not only take land revenue. It also forced the peasantry deeper into a **cash** economy and then stabilised the rupee for imperial trade.

- Land revenue had to be paid in **cash**, not kind. That single rule pushed peasants toward moneylenders and cash crops even before railways matured.
- Railways, ports and plantation wages further monetised the countryside. Village barter and grain dues shrank relative (सापेक्ष) to silver and notes.
- Through much of the nineteenth century India was effectively on a **silver** (रूपक) standard. Falling silver prices in the 1870s–90s made the rupee unstable against sterling and hurt India's external payments.
- The **Herschell Committee (1893)** recommended closing the Indian mints to the **free coinage of silver**. That ended the older automatic silver inflow into the rupee.
- The **Fowler Committee (1898)** recommended a **gold-exchange standard**. The rupee was linked to sterling at **1 shilling 4 pence (1s 4d)** without putting India on a full gold-coin circulation like Britain.
- Gold-exchange standard meant India held sterling reserves and converted rupees through London — convenient for Home Charges and British trade, not for Indian monetary autonomy.
- Paper currency and later Reserve Bank arrangements (1935) sit on this late colonial money spine; prelims usually stop at Herschell / Fowler / 1s 4d.

> **Logic:** Herschell **closes** free silver minting (**1893**). Fowler sets **gold-exchange** / **1s 4d** (**1898**). Monetisation ≠ Drain, but it made Drain and cash revenue easier to extract.

4.15 Railways and the Guarantee System

- The first passenger line ran from **Bombay to Thane in 1853**, built by the **Great Indian Peninsula Railway**. It was **not** opened in 1857.
- **Lord Dalhousie**'s 1853 Railway Minute pushed a national network alongside the telegraph and the post.
- The **East Indian Railway** and the **Great Indian Peninsula Railway** signed the first guarantee contracts with the Company in **1849**.
- Under the **guarantee system**, the government gave companies **free land** and guaranteed a **5 percent return** on their invested capital, paid from **Indian revenues**, whatever the line's actual profit.
- If a company earned more than 5 percent, it had to first repay past guarantee shortfalls before keeping the surplus. Most early lines earned far less than 5 percent for decades, so Indian taxpayers covered the gap.
- Guaranteed profit removed the companies' incentive to control cost. Construction ran near double the original estimate per mile.
- The contracts were **renegotiated in 1869**: the government cleared company debts and extended terms, in exchange for half of future surplus profits — a deal that still favoured the companies.

- From the 1870s–80s the state began direct **state construction and part-nationalisation** of some lines, but guaranteed and mixed company-managed forms continued alongside it into the twentieth century.
- The first aims were moving **troops**, taking raw material to ports, and running the administration — not passenger comfort.
- In the UP region the main junctions were **Kanpur (कानपुर), Lucknow (लखनऊ) and Allahabad**.

> **Logic:** "5 percent whatever happened" is the guarantee-system fact. Railways are not a "welfare-only" story.

4.16 Managing Agency System

- The **managing agency** was the dominant business structure of colonial Indian industry. A firm of professional managers — the "agent" — ran a joint-stock company under a long, often irrevocable, management contract.
- The managing agent usually **promoted, financed and staffed** the company, then kept control through the contract even while holding only a **minority stake** of the actual capital.
- Much of the invested capital came from **Indian shareholders and Indian-raised funds**, but real decision-making, commission income and board control stayed with the British agency.
- British houses such as **Andrew Yule, Bird & Co. and Jardine Skinner** each controlled a cluster of companies across **jute, coal and tea**, so that one industry fed another — coal for the mills, engineering for the railways.
- A handful of agencies controlled the large majority of paid-up capital in **jute, coal and tea** through the early twentieth century.
- The system let British capital and management dominate modern industry while spreading much of the financial risk onto Indian investors.
- Indian business houses — most famously **Tata** (तत्) — grew up partly by working outside or against the managing-agency grip, especially in cotton and steel.

> **Logic:** Managing agency is not zamindari. One is industrial-corporate control; the other is agrarian land revenue. Keep the two "British-control-without-full-ownership" stories separate.

4.17 Telegraph

- The pioneer in India was **Dr William O'Shaughnessy**, not Dalhousie.
- An experimental line ran from **Calcutta to Diamond Harbour in 1851**.
- Dalhousie expanded the network in the 1850s.
- The telegraph was used for military control in **1857**.

> **Logic:** Dalhousie **expanded** the telegraph. He did **not** invent it.

4.18 Postal System

- **Warren Hastings** started a Company postal system in **1774**, centred on Calcutta.
- Public use grew gradually; **1837** is a usual marker.
- The **Post Office Act of 1854** and **uniform penny postage** came under **Dalhousie**.
- The **Post Office Savings Bank** began in **1882**.
- Mail later rode the railways and reached villages more widely than the telegraph.

> **Logic:** Hastings **started** the post. Dalhousie made postage **cheap and uniform**. Penny postage is **1854**, not 1774.

4.19 Famine Policy — 1770, 1876–78, 1943

Three famines anchor this card. Each has a different colonial cause and a different policy response.

Famine	Years	Context	Governor-General / Viceroy	Rough toll
Bengal Famine	**1770**	**Dual Government** mismanagement; revenue kept flowing through the disaster	Warren Hastings took charge only afterward (1772)	About a third of Bengal's population by traditional estimate
Odisha (Orissa) Famine	**1866–67**	Isolation + crop failure; remembered as **"Sea of Calamity"**	Mid-Victorian Company/Crown India	About **13 lakh** in Odisha alone; **George Campbell** inquiry followed
Great Famine	**1876–78**	Drought (सूखा) across Madras, Bombay, Mysore (मैसूर), the Deccan; grain kept moving toward export while relief was deliberately kept meagre	**Lord Lytton**	Estimates (प्राकलन समिति) from **5.5 to 10 million**
Bengal Famine	**1943**	Wartime cyclone, hoarding, denial of rice and boats against a feared Japanese advance, and administrative delay in importing grain	**Lord Linlithgow**	About **3 million**

- The **Odisha famine of 1866–67**, remembered as a **"Sea of Calamity,"** killed about **thirteen lakh** people in Odisha and pushed a formal inquiry under **George Campbell**.
- **1876–78** is the standard "policy" famine. **Lord Lytton** enforced strict **laissez-faire**: no restriction on grain export or hoarding, and relief wages set low (the "**Temple wage**") on Malthusian, self-reliance

grounds.

- Outcry over 1876–78 led to the **Famine Commission of 1880** under **Sir Richard Strachey**. Its report became the base of the first **Famine Codes (1883)** — early-warning signs, classified degrees of scarcity, relief-work and gratuitous-relief rules, and a small annual Famine Insurance Grant.
- The **Second Famine Commission (1898, Sir James Lyall)** and the **Third Famine Commission (1901, Sir Antony MacDonnell)** refined the Codes after the 1896–97 and 1899–1900 famines.
- **Lord Ripon** (Viceroy 1880–84) is remembered for a more humane administrative tone right after Lytton and for the 1882 local self-government Resolution. The Lytton-versus-Ripon contrast is the standard "policy angle," even though the Famine Commission itself was appointed slightly before Ripon's full term.
- The Famine Codes still **banned government interference with grain prices, trade or exports** — a laissez-faire limit that nationalist critics said made "scarcity of purchasing power" look like mere food shortage.
- In **1943** the Famine Codes were largely **ignored** for wartime reasons. The **Woodhead Commission (Famine Inquiry Commission, 1944–45)** investigated but is criticised for downplaying British administrative fault and stressing natural causes instead.

> **Note:** 1770 = Dual Government collapse. **1866–67 Odisha** = Sea of Calamity + Campbell inquiry. 1876–78 = Lytton's laissez-faire, followed by Strachey's Famine Codes. 1943 = wartime failure with the Codes ignored, followed by the Woodhead Commission.

4.20 Impact of British Rule on Indian Economy

This section only joins the results. The mechanisms are already taught above.

- Agriculture produced different peasant classes under different revenue systems. Cash crops and plantations rose. Famine risk rose. Major famine markers are **1770 Bengal**, **1866–67 Odisha**, **1876–78**, and **1943 Bengal**.
- Industry saw handicrafts decline. Modern mills came late and stayed thin, and much of what did grow sat under **managing-agency** control.
- Finance sent Indian surplus to Britain through the Drain and Home Charges, with the railway **guarantee** as a major later channel.
- Rail, telegraph and post served control and trade first. Nationalists used them later.
- Society produced typical colonial classes: zamindar, moneylender (साहूकार), plantation labourer and landless labourer.
- India was **not** "fully modernised by 1947." Infrastructure is not proof of benevolent rule.

Dual economy critiques

- A **dual economy** picture grew under colonial rule: a thin modern / export pocket (ports, plantations, railways, a few mills) sat beside a distressed agrarian mass.
- Nationalist writers used that split against official “progress” claims. Railways and mills could expand while weavers ruined and famine risk stayed high.

- **Drain theorists** (Naoroji, R. C. Dutt and others) argued the modern sector itself helped ship surplus out through guarantees, Home Charges and agency profits.
- Later historians debate how deep deindustrialization ran, but the coaching map still holds the dual picture: colonial modernisation was **uneven, extractive and incomplete**.
- Do not treat dual economy as a separate theory from Drain. Dual economy describes the **structure**; Drain describes the **outflow**.

UP Focus

- Land revenue in the North-Western Provinces (later UP) was mainly **Mahalwari**.
- The main rail junctions were **Kanpur, Lucknow and Allahabad**.
- Indigo was the cash crop of the Bihar–Bengal belt, with an eastern UP fringe.

4.21 Master Fact-Locks — British Land Revenue Systems, Drain of Wealth & Agrarian Economy

System / Economic Concept	Core Geographical Coverage, Founders & Rules	Official High-Yield Exam Anchors
Permanent Settlement (1793)	• Introduced by **Lord Cornwallis** in Bengal, Bihar, Orissa, and Varanasi (UP); covered ~**19% of British India**. • Alternative names: *Istamrari, Jagirdari, Malguzari, Bishwedari*. • **Proprietorship & Shares:** Landlords (*Zamindars*) recognized as hereditary proprietors; required to surrender **10/11th** of collection to the Company and retain **1/11th** as remuneration. • **Sunset Clause:** If revenue was not paid into the government treasury by sunset of the stipulated date, the estate was auctioned (*Sunset Law*). • **Absence of Patta Control:** Zamindars failed to issue lease deeds (*pattas*) to cultivating peasants due to the absence of state supervision, leading to rampant sub-infeudation and increased litigation. • **Bengal Tenancy Act (1885):** Enacted to define and protect occupancy tenant rights against rack-renting.	Zamindars as owners (10/11 : 1/11)
Ryotwari System (1792 / 1820)	• Devised by **Captain Alexander Read** and **Sir Thomas Munro**. • First tested in **Baramahal district (Tamil Nadu)** in 1792; formally established across Madras Presidency in 1820 by Munro; later extended to Bombay, East Bengal, Assam, and Coorg; covered ~**51% of British India**. • **Peasant Ownership:** Individual cultivator (*Ryot*) recognized as direct proprietor with rights to sell, mortgage, and transfer land, paying revenue directly to the state. • **Strict Assessment:** Lands surveyed and assessed based on estimated soil productivity (set between 45%–55%); **no automatic exemption** granted for drought, flood, or crop failure; ruthless collection forced peasants into the trap of moneylenders (*Sahukars*).	Direct peasant settlement (51% area)

System / Economic Concept	Core Geographical Coverage, Founders & Rules	Official High-Yield Exam Anchors
Mahalwari System (1822)	• Devised by **Holt Mackenzie** (Regulation VII of 1822) and reformed by Robert Merttins Bird (1833). • Implemented in North-Western Provinces (UP), Central Provinces, and Punjab; covered ~**30% of British India**. • **Village Unit:** Revenue unit was the village (*Mahal*); the entire village community was held jointly responsible (*joint and several liability*) for payment, collected via the village headman (*Talukdar / Lambardar*).	Village community unit (30% area)
Traditional Agrarian Systems Alignment	• **Jajmani:** Traditional reciprocal service-relationship system in **North India** between agriculturalists and village artisanal castes. • **Bara Balute:** Traditional 12-village servant/artisan system in **Maharashtra**. • **Mirasi:** Hereditary village landholding system in **Tamil Nadu** (*Mirasidars* acted as designated revenue payers under Ryotwari). • **Adade:** Hereditary artisan service-remuneration system in **Karnataka**.	Regional socio-economic institutions
Home Charges Components	Total expenditure incurred in England by the Secretary of State for India on behalf of the Indian government; comprised: 1. Dividends to EIC shareholders. 2. Interest on public debts raised in London. 3. Interest on guaranteed capital invested in Indian Railways. 4. Civil and military store purchases made in England. 5. Pensions, furloughs, and gratuities payable to retired British civil and military personnel. *(Note: Funds utilized for waging imperial wars outside India were EXCLUDED from Home Charges).*	External Drain Components
Imperial Preference	Discriminatory fiscal policy granting special tariff concessions on British manufactured imports into India (subject to nominal or zero duty), while Indian handcrafted and manufactured goods faced prohibitive protective tariffs in the British home market.	Trade exploitation mechanism
Deindustrialization & Ruralization	• Process commenced in **1813** when the Charter Act abolished EIC's trade monopoly (except tea and China trade); aggravated in **1833** when EIC was made a purely administrative body. • Ruined traditional Indian handloom and handicraft industries without modern domestic factories to absorb displaced weavers, resulting in forced ruralization and excessive pressure on agriculture. • Wealthy Indian elites preferred safe investment in landed estates (*Zamindaris*) rather than risky capital-intensive heavy industries.	Destruction of traditional handicrafts
Assam Tea Company (1839)	Formed in England in **1839 CE** with a capital of Rs. 5 lakh; established headquarters at **Nazira (Assam)**; oldest commercial tea plantation company in India.	Earliest plantation corporate

System / Economic Concept	Core Geographical Coverage, Founders & Rules	Official High-Yield Exam Anchors
Punjab Land Alienation Act (1900)	Enacted by the British administration to prevent the alienation and mortgage of agricultural lands from hereditary peasant tribes to urban non-agricultural moneylenders (*Sahukars*).	Protection of cultivating classes
Pioneer of South Indian Irrigation	**Sir Arthur Cotton:** Renowned British military and irrigation engineer who designed the monumental Godavari and Krishna delta anicuts (weirs), celebrated as the ***"Pioneer of Irrigation Works in South India"***.	Modern canal irrigation
Commercialization of Agriculture	19th-century transformation forced Indian farmers to produce export-oriented industrial cash crops (indigo, raw cotton, jute, opium, tea, sugarcane, oilseeds) rather than food grains, disrupting rural food security and intensifying famine vulnerability.	Transition to cash crops
Drain of Wealth Propounders	• **Dadabhai Naoroji ("Grand Old Man of India"):** First to systematically compute India's national per-capita income; declared the economic drain the ***"evil of all evils"*** and primary cause of catastrophic famines; formulated in papers (*England's Debt to India* 1867, *The Wants and Means of India* 1870) and landmark book ***Poverty and Un-British Rule in India*** (**1901**). • **R.C. Dutt (ICS officer):** Published ***The Economic History of India*** (1901/1906), asserting that nearly one-half of India's annual net revenue was drained overseas. • **Other Economic Critics:** Justice M.G. Ranade, G.V. Joshi, G. Subramania Iyer (editor of *The Hindu*), and P.C. Ray. • **INC Official Adoption:** Indian National Congress formally embraced the Drain Theory at its **1896 Calcutta session**. • **Dissent: Sir Syed Ahmad Khan** did not accept the Drain Theory, believing Muslim educational and social advancement depended entirely on imperial British stability. • **Karl Marx's Critique:** Declared in his London dispatches that British colonial economic exploitation of India was *"disgusting"*.	Intellectual critique of colonialism